

The Guided Payments Guide

A plain-English guide to credit card processing: how to read your statement, what you're really paying, and the programs that let you keep more of every sale.

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SHORTCUT

Everything in this guide can be done by hand with a calculator. Or skip the math: upload one statement at **guidedpayments.com/statement-analyzer** and get your effective rate and every fee in a few minutes, free, no account required.

INTRODUCTION

Understanding your credit card statement tells you three things: how you're being billed, what you're being billed, and why. With that, you can negotiate the right pricing structure for your business and quickly tell which processors are being fair and transparent.

By the end of this guide you should feel comfortable sitting down with a statement, a calculator, and a little patience, and getting to the bottom of what you're actually paying in card fees. A little vocabulary goes a long way in this industry, and for many businesses it adds up to real money every month. Knowing your true cost gives you the leverage to shop, strategize, and choose the processor and pricing model that fit you and your team.

How to use this guide. Read it once front to back, then keep it next to your statement. Each section covers one thing you'll see on the page, what it means, and what to do about it. Where a number matters, we show the math.

A note on tone: this guide is opinionated. It's written by someone who sets up payment processing for a living and has read a lot of statements. Where it's opinion, it says so. Where it's math, you can check it.

TRY IT NOW Grab your most recent processing statement before you turn the page. The rest of this guide is easier with one in front of you.

UNDERSTANDING YOUR STATEMENT

Every processor sends its own statement each month. Some mail a copy, some post a PDF online. All of them provide one; none of them look the same. That's exactly why it's worth reviewing yours regularly. Fact-checking your processor periodically keeps everyone honest and competitive.

At the core of any statement you'll find a handful of numbers that matter most: **total volume, total fees, number of transactions, average ticket**, and (hopefully) **interchange cost**. Keep interchange in the front of your mind as we go. It becomes very clear once we cover it.

WHAT IS YOUR EFFECTIVE RATE?

Your effective rate is the simplest honest measure of what you pay. It's your total fees for the month divided by your total card volume for the month, including Visa, Mastercard, Discover, and American Express.

Example: $928 in fees on $30,000 in volume

$928 ÷ $30,000 = 0.0309 → 3.09% effective rate

Why does this matter? If you don't know what you're paying today, you can't shop rates or evaluate an offer. Your effective rate is the starting point for deciding how bad, or how good, your current setup is.

SKIP THE MATH

Upload one statement at **guidedpayments.com/statement-analyzer**. You'll get your effective rate, every fee it can identify, and a list of questions worth asking, in a few minutes.

WHY VOLUME, TRANSACTIONS, AND AVERAGE TICKET MATTER

The tools to lower your processing cost are right there on your statement. They're just easy to overlook if nobody has shown you how to read them.

Volume: the total dollar amount run on cards for the month.

Number of transactions: usually on the first page. How many times you ran a card that month. It should be listed right next to volume.

Average ticket: volume divided by number of transactions.

Example: $50,000 volume ÷ 1,000 transactions = $50.00 average ticket

Your average ticket tells you a lot, but the most useful thing it does is turn a percentage into a dollar figure you can feel. It shows what you, the owner, pay every time someone walks in and pays with a card.

Example: $50 average ticket at a 3% effective rate = $1.50 per sale

Now ask yourself: is that cost built into your pricing? Or is it just “the cost of doing business”?

Three percent of gross sales is not a rounding error. It belongs in your business model and your pricing the same way rent and payroll do. Once you see it per sale, you'll never un-see it.

WHY IT MATTERS LATER

Average ticket also decides which pricing model fits you. A $6 coffee shop and a $600 furniture store should not be on the same plan. More on that in the pricing section.

WHAT ARE JUNK FEES?

Every processor is different, the way every doctor is different. Some add profit to an account outside the normal margins by adding fees that don't do anything but look official. A transparent processor will explain any fee on your statement, line by line. If a fee can't be explained clearly, it's probably padding.

Common examples

- Monthly minimum fee
- Batch header fee
- Technology fee
- “Biz Shield” or similar assessment
- PCI non-compliance fee (see page 7)

WHAT PRICING STRUCTURE AM I ON?

Knowing your pricing model is the single most useful thing you can learn from this guide. Here are the three you'll see most.

1. Interchange-plus: interchange cost plus a disclosed markup. Interchange is set by the card brands and depends on the card type and how it's run at checkout. You see the real cost and the processor's margin separately.

2. Flat rate: one fixed percentage that doesn't change when interchange does. Simple to understand. Sometimes a per-transaction fee is added on top, which usually defeats the point of a flat rate.

3. Tiered pricing: cards are grouped into three tiers (qualified, mid-qualified, non-qualified) based on qualifying factors. Easy to quote, hard to audit.

Bonus: published interchange tables are public. The card brands post them, and a quick search for “Visa interchange rates” will get you the current schedule.

PRICING STRUCTURE, CONTINUED

Say you average your last six statements and land on a 2.9% effective rate. Someone offers you a 2.5% flat rate. On paper that's real savings. But look at how the offer was built.



Six statements. One average. That's the number an honest offer is built on.

Good flat-rate offers come from a statement review and your industry type. Without a statement, anyone quoting you a flat rate is guessing at your costs. And when people guess in payment processing, the guess is rarely in the merchant's favor; it has room for error built in.

You're a business owner. You deserve better than a guess from a stranger on the phone. Know your pricing model and use it.

Bonus vocabulary: a basis point (bp) is one-hundredth of one percent. 100 basis points = 1%. Processors talk in basis points; now you can too.

Why you care

Ask your processor what their margin looks like on your account. Tell them you understand interchange and markup. Use basis points in the question. Then wait. You will get a different answer than you would have any other way. Education is the only game plan that works in a sales conversation.

WANT A SECOND SET OF EYES?

Sean reads statements for a living and will tell you which model fits you, including when the answer is “stay where you are.” Call or text **(239) 297-1703**.

WHAT IS A TRANSACTION FEE?

Almost every pricing structure charges two things on each sale: a percentage (quoted in basis points) and a per-transaction fee, usually in cents, applied every time a card is run.

Example interchange (varies by card and brand):

Regulated debit card: 0.05% + $0.21 = cost before any markup

Rewards credit card: 2.95% + $0.10 = cost before any markup

If you run 5–10 transactions a month, the per-transaction fee barely matters. If you run 5,000 a month, like an ice cream shop in July, that fee can add up to thousands of dollars. Knowing your transaction count tells you how much to care.

WHAT CARD TYPES ARE WALKING THROUGH MY DOOR?

Statements usually include a long breakdown of line items by card brand and card type. The information is all there; the problem is reading it.

Each line represents what kind of card was run and how it was run (swiped, dipped, tapped, keyed, online). Knowing your card mix is often what decides which pricing model fits you best. A business that sees mostly debit cards should be priced very differently from one that sees mostly rewards cards.

A good processing rep will break this out for you and tell you what it means. Don't skip this step when you're comparing offers.

WHAT IS PCI AND WHY DOES IT MATTER?

The Payment Card Industry Data Security Standard (PCI DSS) is the information-security standard for any business that handles branded cards. The card brands require it; the PCI Security Standards Council administers it.

Why you care

PCI exists to protect you and your customers from data breaches. Being compliant means using certified equipment and processing methods and protecting cardholder data from start to finish.

Example: storing cards for recurring billing. Done on the right platform, the card data is tokenized and never touches your systems. Done on the wrong one, you carry the liability if there's a breach.

That's not a mistake worth making to save a few dollars with the cheapest processor on the internet.

So how do I save money?

Most owners don't realize they're required to complete an annual PCI questionnaire (and, for some setups, quarterly scans). If nobody told you, you're probably not marked compliant, and there's usually a monthly fee for that on your statement.

Find your statement and read the fee section top to bottom.

Look for “PCI non-compliance” or similar. Completing the questionnaire removes that line. Sean walks every client through it.

HOW DO I OFFSET MY PROCESSING COST?

This is the most valuable section in the guide. Once you understand the programs that can offset or sharply reduce your processing cost, you'll never look at a card sale the same way.

A short backstory

Over the last decade the card world changed. Card issuers competed by offering richer rewards to cardholders, and every one of those rewards is paid for by the business accepting the card. Costs for merchants kept climbing with no end in sight.

Business owners responded by charging a fee for cards or offering a discount for cash. After years of legal and regulatory back-and-forth, the card brands published rules that allow these programs, within limits they control.

The programs that came out of that are known as **cash discounting, dual pricing, service fees, and surcharging**. Each has compliance rules set by the card brands and, in some cases, by state law. Done correctly, they let a business offset most or all of its card acceptance cost. They're now common in every town in America and are increasingly how small business is done.

What the customer sees

With **dual pricing**, the customer sees a cash price and a card price before they pay, on the screen and on the receipt. They choose. Nothing is hidden, and nothing is added after the fact.

SEE IT A live example receipt and a walkthrough are at **guidedpayments.com/zerofee**.

HOW DO I SET UP DUAL PRICING OR A CASH DISCOUNT?

Every business is different, and saying there's one way to set these programs up for everyone would be misleading. The nuts and bolts are: look at how the business prices today, then choose the program that fits its customers and its owner.

An experienced processor should be able to show you the easiest path to rolling out a program. The card brands set the compliance rules, and the rules differ between dual pricing, cash discount, and surcharge, and in a few states. We stick to compliant programs and the correct wording when introducing them to customers.

Here's how a compliant program is built

- Register the program with the card brands where required.
- Clear signage at the entrance and point of sale.
- Cash and card prices shown before payment, and both shown on the receipt.
- The program offsets your cost of acceptance; it is not a profit center.
- Caps and rules vary by program, card brand, and state. Sean sets each program up to the current rules so you don't have to track them.

IN AN IDEAL WORLD

Use a processor you trust to set this up. If you already have one and they're good, call them and ask how they'd roll it out. If you don't have someone, reach out and we'll tell you whether it's a fit for your business. These pricing models are the direction the industry is heading.

ASK SEAN Already passing fees along informally? Get it checked this week. A quick call to **(239) 297-1703** is cheaper than a compliance problem.

THE GIVE AND THE TAKE

People find reasons to shop or switch processors all the time. In our opinion there are only three good ones, and if yours isn't on the list, you may be better off staying put.

$	24	⚙
PRICE	**SERVICE & SUPPORT**	**TECHNOLOGY**

This is our opinion, not a law of nature. Use your own judgment and gather as much information as you can.

Educate, then decide.

Price. If your pricing model is fair, or at least close, weigh the other two factors before you move. Switching on price alone is not always the best long-term call.

Service and support. This is a huge factor. Think hard about the service you're getting and what it's worth. At minimum, every merchant deserves a dedicated rep they can reach and a 24/7 support line. If you don't have both, you're swimming in the wrong pond.

Technology. This is the hardest part of the equation. Processing is a technology business, and what's best today may not be best next year. A good processor's job is to keep looking for the solutions that fit each merchant. If yours doesn't have that mindset, it's time to look. Every business has a setup that fits. If your current technology doesn't make your everyday life easier, there's probably a better option.

TECHNOLOGY THAT BRINGS VALUE

Virtual terminals · Wireless and countertop terminals · Mobile and tap-to-pay · E-commerce gateways · Point-of-sale systems · Dual pricing built into the POS · Invoicing and payment links · Recurring billing · QuickBooks integration · API and custom integrations

THE FOUR-YEAR QUESTION

Here's a simple idea that's thousands of years old and still true: when something is offered for free, you're paying for it somewhere else.

In processing, that usually shows up as “free” equipment or a “free” POS in exchange for the processing account. Sometimes that's a perfectly good deal. Sometimes the processing rate behind it is where the money is made. The equipment isn't the problem; not knowing the whole cost is.

Ask the four-year question. Whatever you're offered, add up the equipment, the software, and the processing over four years, and get it in writing. Compare that total, not the cost of entry.

That's how we quote: POS, software, and processing together, so you see the whole monthly picture before you sign anything. Paying several times the cost over four years rarely ends well, and it's avoidable when you can see the math up front.

RULE OF THUMB If a quote won't show you processing and equipment on the same page, ask why.

CLOSING THOUGHTS

As we wrap up, a few reminders. Processors are businesses too. Our job is to make money; if we didn't, we'd be broke, fired, or both. Everyone at the table wants to do well, and that's fine.

What matters is a transparent relationship between processor and merchant. Talk to your processor. Be open and direct with your questions. Tell them what's frustrating you; there may be a fix you don't know about. And when they do a good job, say so. A processor who hears from you when things are good is a lot more likely to pick up the phone when something goes sideways. We have a stake in your business the same way you do. A win-win should always be the goal.

With everything in this guide, take your time and build an action plan that fits your business model.

As always, Guided Payments is here if you have questions or need a hand.

Thank you,

Sean Russ

Guided Payments · Powered by Priority Business Solutions

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WHAT SEAN CAN DO FOR YOUR BUSINESS

One contact, the whole payments picture. Here's the short version of every solution in this guide, and who it's usually for.

NEED	WHAT WE SET UP	USUALLY FOR
Lower cost	Interchange-plus pricing: real card cost plus a fixed, disclosed markup. Starts with a free statement review.	Anyone on flat-rate or tiered pricing with steady volume
Stop eating fees	Dual pricing, cash discount, or surcharge, built to card-brand rules with signage and receipts handled.	Restaurants, retail, service businesses
Point of sale	Clover, Quantic, Tonic, and Square, quoted with processing included. Compatibility review if you'd rather keep what you have.	Storefronts, restaurants, multi-location
Terminals	Dejavoo, Valor, and Clover Flex families; mobile readers and tap-to-pay.	Countertop, mobile, backup
Online checkout	Merchant account plus a gateway that plugs into WooCommerce and most WordPress ecommerce builds. Hosted fields keep PCI scope small.	Ecommerce and donation sites
Invoicing & ACH	Priority Pay Center: invoices, payment links, recurring billing, card and ACH, QuickBooks integration.	Contractors, agencies, professional services
Payroll, funding, financing	Introductions to trusted partners when it makes sense.	Growing businesses, seasonal cash flow
Contract review	We read your current agreement or lease and tell you what leaving actually costs, and whether it's worth it.	Anyone who signed something they don't love

How it starts

One statement, or one short call. You'll see current cost versus proposed before anything is signed, and you'll hear “you're fine where you are” when that's the truth.

How it continues

Sean sets up the account and stays the contact. You keep your bank in almost every case. No call center between you and the person who knows your business.

FREE TOOL

guidedpayments.com/statement-analyzer: upload one statement, get your effective rate and fees in minutes. No account, no obligation.



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